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NATIONAL SECURITY COUNCIL  
WASHINGTON, D.C. 20506

February 5, 1991

ACTION

MEMORANDUM FOR WILLIAM F. SITTMANN

FROM: ADRIAN A. BASORA *AAB*

SUBJECT: Telephone Call with President Francois Mitterrand  
of France of February 5, 1991

At Tab A is the memorandum of telephone conversation for the  
President's call with President Mitterrand.

RECOMMENDATIONS

That the Memorandum of Telephone Conversation at Tab A be filed  
for the record.

Approve *W*

Disapprove \_\_\_\_\_

That you sign the memorandum at Tab I transmitting the Memorandum  
of Telephone Conversation to State.

Attachments

Tab I Memorandum to State

Tab A Memorandum of Telephone Conversation

**DECLASSIFIED**

White House Guidelines

E.O. 13526, SEC 3.4 (b), September 11, 2006

By MB NARA, Date 6/8/11

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NSC/S PROFILE

RECORD ID: 9100903  
RECEIVED: 05 FEB 91 18

TO: SCOWCROFT

DAB  
Chron

FROM: BASORA

DOC DATE: 05 FEB 91  
SOURCE REF:

KEYWORDS: EUROPE EAST  
EC  
HUNGARY

ECONOMIC ASSISTANCE  
CZECHOSLOVAKIA  
IMF

PERSONS:

SUBJECT: G-24 PROGRESS ON AID TO TO EASTERN EUROPE

ACTION: NOTED BY SCOWCROFT

DUE DATE: 08 FEB 91

STATUS: C

STAFF OFFICER: BASORA

LOGREF:

FILES: WH

NSCP:

CODES:

D O C U M E N T   D I S T R I B U T I O N

FOR ACTION

FOR CONCURRENCE

FOR INFO

BASORA

NSC CHRON

COMMENTS: \_\_\_\_\_  
\_\_\_\_\_  
\_\_\_\_\_

DISPATCHED BY \_\_\_\_\_ DATE \_\_\_\_\_ BY HAND W/ATTCH

OPENED BY: NSMEM

CLOSED BY: NSJEB

DOC 1 OF 1

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UNCLASSIFIED UPON  
REMOVAL OF CLASSIFIED  
ATTACHMENTS

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0903

NATIONAL SECURITY COUNCIL

WASHINGTON, D.C. 20506

February 5, 1991

INFORMATION

DECLASSIFIED  
PER NSC WAIVER, 1500 2021-02  
By SS NARA, Date 11/13/95

MEMORANDUM FOR BRENT SCOWCROFT

FROM: ADRIAN BASORA *AAB*

SUBJECT: G-24 Progress on Aid to Eastern Europe

As I mentioned at yesterday's staff meeting, the January 30 Senior Officials' Meeting of the G-24 produced credible results.

The EC Commission's tally of cumulative financial commitments to date now totals \$38 billion. Bilateral aid (the measure used in previous reports) stands at more than \$21 billion. To this, the Commission is now adding the several billion dollars of paid-in capital pledged to the EBRD, plus additional large amounts in the pipeline from the World Bank and other multilateral institutions.

Particularly in the case of the multilateral lending, actual outlays and cash flows into Eastern Europe will start up slowly and be spread over several years. Furthermore, part of the \$21 billion in bilateral pledges consists of export credits and loan guarantees that are not always easily or quickly usable. At the January meeting the U.S. got Commission support for greater emphasis on aid effectiveness, and on tallying actual drawdowns.

The January 30 meeting virtually clinched funding for a \$1 billion loan to Czechoslovakia, plus \$500 million for Hungary. Both loans are for immediate balance of payments support in connection with upcoming IMF programs. They are based on the two countries' serious reform programs and the impact of the Gulf crisis and of deteriorating trade conditions with the USSR.

Whereas a year ago the U.S. had contributed 20% of the \$1 billion stabilization fund for Poland, this time we were able to come up with only 1.5% and 2.0 % respectively for Poland and Hungary. A Saudi/Kuwaiti pledge of \$110 million helped to fill the gap left by the U.S. Other G-24 donors seemed reluctantly to accept our argument that the U.S. could put up only a token share this time in view of the costs we are incurring in the Gulf. By the Commission's current estimate, the U.S. share of total financial pledges has now dropped to 8.5% -- although we still provide 13.4% of the nearly \$8 billion in the important category of grants.

Despite evident disappointment regarding declining U.S. funding, the EC Commission was responsive to virtually all of our

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requests, including the laying down of clear markers to the Romanians and the Yugoslavs about the political conditionality of G-24 assistance. In contrast to its earlier turf-aggressiveness, the Commission also responded well to our insistence on carefully respecting the organizational roles of the World Bank, the OECD and the IEA. Once the Gulf war is behind us, however, it may prove difficult to maintain our role as the EC's primary partner in managing the G-24 unless we are able to return to a commensurate level of funding.

cc: Tim Deal



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**Collection/Office of Origin:** National Security Council  
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**Subseries:** Central Chronological Files

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**Folder ID Number:** 30514-001

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**Folder Title:**  
February 1991 [4]

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